

episode was scarier. Why? In 1987 the economy was perking along, and our banks were solvent, so the fundamentals were positive. In 1990 the country was falling into recession, our biggest banks were on the ropes, and we were preparing for war with Iraq. But soon enough the war was won and recession overcome, the banks recovered, and stocks took off on their biggest climb in modern history. More recently we've seen 10 percent declines in the major averages in the spring of 1996, the summers of 1997 and 1998, and the fall of 1999. August of 1998 brought the S&P 500 down 14.5 percent, the second worst month since World War II. Nine months later stocks were off and running again, with the S&P 500 up more than 50 percent!

What's my point in recounting all this? It would be wonderful if we could avoid the setbacks with timely exits, but nobody has figured out how to predict them. Moreover, if you exit stocks and avoid a decline, how can you be certain you'll get back into stocks for the next rally? Here's a telling scenario: If you put \$100,000 in stocks on July 1, 1994, and stayed fully invested for five years, your \$100,000 grew into \$341,722. But if you were out of stocks for just thirty days over that stretch—the thirty days when stocks had their biggest gains—your \$100,000 turned into a disappointing \$153,792. By staying in the market, you more than doubled your reward.

As a very successful investor once said: "The bearish argument always sounds more intelligent." You can find good reasons to scuttle your equities in every morning paper and on every broadcast of the nightly news. When *One Up* became a best-seller, so did Ravi Batra's *The Great Depression of 1990*. The obituary for this bull market has been written countless times going back to its start in 1982. Among the likely causes: Japan's sick economy, our trade deficit with China and the world, the bond market collapse of 1994, the emerging market collapse of 1997, global warming, ozone depletion, deflation, the Gulf war, consumer debt, and the latest, Y2K. The day after New Year's, we discovered that Y2K was the most overrated scare since Godzilla's last movie.

"Stocks are overpriced," has been the bears' rallying cry for several years. To some, stocks looked too expensive in 1989, at Dow 2,600. To others, they looked extravagant in 1992, above Dow 3,000. A chorus of naysayers surfaced in 1995, above Dow 4,000. Someday we'll see another severe bear market, but even a brutal 40 percent sell-off would leave prices far above the point at which various pundits called for investors to abandon their portfolios. As I've noted on prior occasions: "That's not to say there's no such thing as an overvalued market, but there's no point worrying about it."

It's often said a bull market must scale a wall of worry, and the worries never cease. Lately we've worried our way through various catastrophic "unthinkables": World War III, biological Armageddon, rogue nukes, the melting of the polar ice